

Basic Guide to Taxation & Tax Saving in India

1. What is Taxation?

Taxation is the process by which the government collects money from individuals and organizations to fund public services such as education, healthcare, infrastructure, and defense.

2. Types of Taxes in India

- 1 Direct Tax: Paid directly by individuals or companies (e.g., Income Tax).
- 2 Indirect Tax: Collected on goods and services (e.g., GST).

3. Income Tax Slabs (Basic Overview)

Income tax is charged based on income slabs defined by the government. Different slabs apply for individuals based on age and income level.

4. Ways to Reduce Tax Legally

- 1 Section 80C: Investments in PPF, EPF, ELSS, LIC (up to ₹1.5 lakh).
- 2 Section 80D: Health insurance premium deductions.
- 3 Home Loan Benefits: Deductions on principal and interest.
- 4 Education Loan: Interest deduction under Section 80E.
- 5 Donations: Deductions under Section 80G.

5. Government Tax Saving Schemes

- 1 Public Provident Fund (PPF)
- 2 National Pension Scheme (NPS)
- 3 Sukanya Samriddhi Yojana
- 4 Senior Citizens Saving Scheme (SCSS)
- 5 Atal Pension Yojana

6. Old Tax Regime vs New Tax Regime

Old Tax Regime allows deductions and exemptions, while the New Tax Regime offers lower tax rates but removes most deductions. Taxpayers can choose the regime that suits them best.

7. Conclusion

Proper tax planning helps reduce tax burden legally and improves financial stability. Understanding tax laws and government schemes is essential for effective tax management.